

PART-A

Name of the Student: Aditya Samal

Signature of the Student: Aditya Roll No.: 280123002

Signature of the Invigilator: [Signature]

INSTRUCTIONS

1. Check that you have **10 printed pages**. The PART-A of the examination has **3 questions**, for a total of **20 points**.
2. Attempt **all questions**.
3. There is **no credit** for a solution if the appropriate work is not shown, even if the answer is correct.
4. Write your answers in this booklet and only in the **space marked for answers**. Any answer written in any space other than the designated space will **not be evaluated**.
5. The pages numbered **8 to 10** are kept as **additional pages**. If you cannot able to fit a complete answer in the space provided just after the question, you can use these three pages by referring the page number of additional page in the original space.
6. At the beginning of the examination, a supplementary sheet has been provided only for rough work. Should you need more, please ask the invigilator.
7. No question requires any clarification from the instructors or invigilators, even if a question has an error or incomplete data. The students are advised to write answer according to their understanding or write reasons for why it is not possible to solve partially or completely that question by citing errors/insufficient data.

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Question:	1	2	3	Total
Points:	5	6	9	20
Score:	0	2	5	07

QUESTIONS

1. (5 points) Let Y and ϵ are the response variable and the error in a regression problem, respectively. θ_1 and θ_2 are the two parameters. Let $y_i, i = 1, 2, 3$, be the observed values of the response variable. Consider,

$$Y_1 = \theta_1 + \theta_2 + \epsilon_1,$$

$$Y_2 = \theta_1 - 2\theta_2 + \epsilon_2,$$

$$Y_3 = 2\theta_1 - \theta_2 + \epsilon_3,$$

where $E(\epsilon_i) = 0$, and $V(\epsilon_i) = \sigma^2, i = 1, 2, 3; \sigma > 0$. Find the least square estimates (LSE) of θ_1 and θ_2 .

Given $Y = [Y_1 \ Y_2 \ Y_3]^T$

$$X = [\theta_1 \ \theta_2]$$

$$B = \begin{bmatrix} 1 & 1 \\ 1 & -2 \\ 2 & -1 \end{bmatrix}$$

$$\epsilon = [\epsilon_1 \ \epsilon_2 \ \epsilon_3]$$

$$Y = BX + \epsilon$$

We need to find the LSE of θ_1 & θ_2
i.e $\hat{B} = [\hat{\theta}_1 \ \hat{\theta}_2]$.

We know that:

$$\hat{Y} = \hat{B}X = HY$$

$$\text{where } H = X(X^T X)^{-1} X^T$$

$$\Rightarrow \hat{B} = HYX^{-1}$$

$$\Rightarrow \hat{B} = X(X^T X)^{-1} X^T Y X^{-1}$$

$$\Rightarrow \hat{\beta} = \frac{1}{n} (X^T X)^{-1} X^T Y$$

$$= \frac{1}{n} \begin{pmatrix} \sum x_i^2 & \sum x_i y_i \\ \sum x_i y_i & \sum y_i^2 \end{pmatrix}^{-1} \begin{pmatrix} \sum x_i y_i \\ \sum y_i^2 \end{pmatrix}$$

00

matrix multiplication

$$\begin{bmatrix} \text{row 1} & 0 & 1 \\ \text{row 2} & 1 & 0 \\ I & \text{row 3} & 0 \end{bmatrix}$$

row 1 = row 1 - row 2

$$\begin{bmatrix} \text{row 1} & 0 & 1 \\ \text{row 2} & 1 & 0 \\ \text{row 3} & 0 & 0 \end{bmatrix}$$

2. Let U_1 and U_2 be two independent uniform random variables on the interval $(0, 1)$. Suppose that $\mathbf{X} = (X_1, X_2, X_3)'$, where $X_1 = U_1$, $X_2 = U_2$, and $X_3 = U_1 + U_2$.
- (a) (3 points) Compute the correlation matrix ρ of $\mathbf{X}$.
- (b) (3 points) Find the variance of first principal component based on the correlation matrix that you find in part (a).

~~Ans~~ Solⁿ @ Since U_1 & U_2 are independent, the X_1 & X_2 are also independent of each other.

$$\therefore \rho_{12} = \rho_{21} = 0 \quad \& \quad \rho_{11} = \rho_{22} = 1.$$

Given,

$$X_3 = U_1 + U_2 \quad \text{where } U_1 \& U_2 \text{ are uniform}$$

~~$\therefore \rho_{13} = \rho_{23} = \frac{1}{\sqrt{2}}$~~

$$\therefore \rho_{13} = \rho_{23} = \frac{1}{\sqrt{2}} = 0.707 \quad \text{How??}$$

$\therefore$ Correlation matrix

02 $\rho = \begin{bmatrix} 1 & 0 & 0.707 \\ 0 & 1 & 0.707 \\ 0.707 & 0.707 & 1 \end{bmatrix}$

(b) We know that $\rho - \lambda I = 0$.

$$\Rightarrow \begin{bmatrix} 1-\lambda & 0 & 0.707 \\ 0 & 1-\lambda & 0.707 \\ 0.707 & 0.707 & 1-\lambda \end{bmatrix} = 0.$$

$$\Rightarrow \lambda = 1.$$

For $\lambda = 1$.

$$\cancel{[P - 1.I]e = 0} \rightarrow [P - 1.I]e = 0.$$

$$\rightarrow e = \begin{bmatrix} 0 \\ 0 \\ 0.707 \\ 0.707 \\ 0 \end{bmatrix}$$

$$\Rightarrow \begin{bmatrix} 0 & 0 & 0.707 \\ 0 & 0 & 0.707 \\ 0.707 & 0.707 & 0 \end{bmatrix} \begin{bmatrix} e_1 \\ e_2 \\ e_3 \end{bmatrix} = 0.$$

$$\therefore e_1 = \frac{1}{\sqrt{2}} e_3 = 0$$

$$\Rightarrow e_3 = 0$$

$$e_1 = -e_2.$$



3. Let the matrix of distance be

	1	2	3	4
1	0			
2	1	0		
3	11	2	0	
4	5	3	3.5	0

- (a) (6 points) Cluster the four items using each of the following procedures:
- Complete linkage hierarchical procedure.
 - Average linkage hierarchical procedure.
- (b) (3 points) Draw the dendrograms and compare the results obtained using previous two procedures.

Sol

Q. i. Complete linkage

~~Number of~~ Items = 1 2 3 4.

Least distance between 1 & 2.

* So we pair 1 & 2.

Remaining ~~(1,2), 3 & 4~~.

* Least distance between 2 & 3.
i.e. (1,2) & 3.

How??

~~* So~~

* So now the groups become (1,2,3) & 4.
Next least distance between 2 & 4.
i.e. (1,2,3) & 4.

* Now we pair (1,2,3) & 4.

∴ The final cluster = (1,2,3,4).

So,

* 1 2 3 4 → (1,2) 3 4 → (1,2,3) 4
(1,2,3,4) ←

ii. Average Linkage

* Least distance between 1 & 2.

* We pair 1 & 2. Remaining (1,2), 3 & 4.

~~Distance~~ Average distance of (1,2) :

From 3 : $\frac{1+2}{2} = \boxed{6.5}$

~~* We pair~~

From 4 : $\frac{8}{2} = 4$.

* Distance between 3 & 4 = 3.5.

* Minimum = dist between 3 & 4.

∴ We pair 3 & 4. Hence remaining (1,2) & (3,4).

We pair these to form the final cluster (1,2,3,4).

So, 1 2 3 4 → (1,2) 3 4

↓
 (1,2,3,4) ← (1,2) . (3,4)

3)

b)

Dendrograms

Complete Linkage

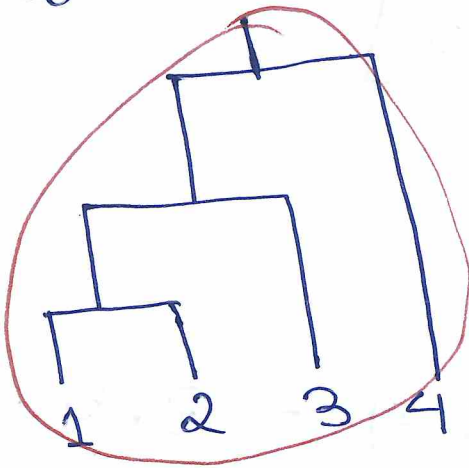
1 2 3 4

Step 3

Step 2

Step 1

Initial



Average Linkage

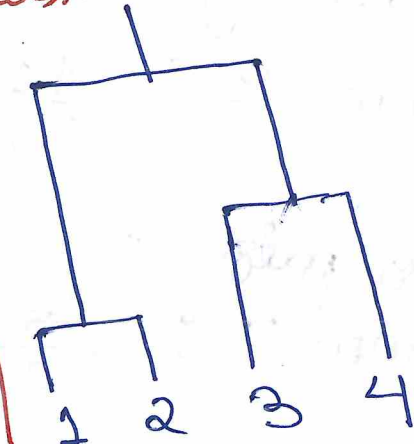
Distance??

Step 3

Step 2

Step 1

Initial



There is a difference. If we use Complete linkage, forms a cluster with (1, 2) as it has a shortest distance with 2.

Whereas in average linkage 3 forms cluster with 4 as its distance from 1 is too large which makes the average distance of (1, 2) from 3 greater than distance of 3 from 4.

02

